

The move away from hardware technology to consulting and software begun by Lou Gerstner and accelerated by Sam Palmisano transformed IBM away from the low-margin, commoditized part of the technology industry to the higher-margin, moat-protected business of consulting, systems integration, and IT outsourcing. When Gerstner righted the ship in 1994, the return on equity at IBM was 14 percent. When he retired in 2002, return on equity had increased to 35 percent. Palmisano kept the ball rolling by moving return on equity even higher; it had reached 62 percent by the time he retired in 2012.

Part of the increase in return on equity can be attributed to the dramatic reduction in equity shares outstanding. But the more significant reason was the decision to leave behind low-margin businesses while dramatically growing the higher-margin businesses of consulting and outsourcing. In 2002, net profit margins at IBM were 8.5 percent. Ten years later, net margins had almost doubled to 15.6 percent.

Over 10 years (2002–2011), IBM generated a net profit for shareholders of \$108 billion. It paid \$20 billion to shareholders in the form of dividends, leaving it with \$88 billion to run its business, which included capital reinvestments, acquisitions, and share repurchases. During this same period, the market capitalization of IBM gained \$80 billion. This is not quite the one dollar of market value for each dollar retained that Buffett would prefer to see in his companies, but considering that the past 10 years had been a dreadful period for the performance of large-capitalization stocks, it is still respectable.

Tenet: Determine the Value

In 2010, IBM generated a net profit for shareholders of \$14.8 billion. That year it spent \$4.2 billion in capital expenditures, more than offset by \$4.8 billion in depreciation and amortization charges. The net result was \$15.4 billion in owner earnings. What is a business that in a year generates \$15.4 billion in cash worth? According to John Burr Williams (and Warren Buffett), the value is the future cash flows of the business discounted back to the present value. The future cash flows will be determined by the growth of the company, and the discount rate that Buffett uses is the long-term U.S. government bond yield, his definition of a risk-free rate.